Keltner Channel

Indicators & Analysis / Volatility & Bands | intermediate | 4 min read | DeepCharts Help Center | August 24, 2026

The Keltner Channel is a classic technical analysis indicator developed by Chester Keltner in 1960, used to identify trends, volatility and reversal areas. It draws three lines over price: a center line based on an exponential moving average, with an upper and a lower band positioned at a distance proportional to the Average True Range (ATR).

Because the band distance comes from ATR rather than standard deviation, the channel expands and contracts with the market's true trading range — including gaps — which gives it a smoother, steadier envelope than Bollinger Bands.

What it is

The Keltner Channel answers the question: how far is price from its volatility-adjusted average, measured in units of typical range? Its three lines are:

- **Keltner Avg** — the center line, an exponential moving average of the selected input.
- **Keltner Up** — the upper band, the center line plus ATR multiplied by the ATR Multiplier.
- **Keltner Down** — the lower band, the center line minus the same distance.

[SCREENSHOT PLACEHOLDER] Candlestick chart with the Keltner Channel overlaid, center EMA line with upper and lower bands, price trending along the upper band with pullbacks holding the center line

`dc-en-keltner-channel-01.png`

When to use it

- Trend identification — price holding above the center line with the channel sloping up is a clean uptrend read (and vice versa).
- Locating pullback entries in a trend, where the center line often acts as dynamic support or resistance.
- Spotting reversal areas when price stretches beyond a band in a non-trending market.
- Volatility framing — the channel width scales with ATR, so it stays honest across quiet and fast markets.

Quick start

1. Open a price chart — see Open Your First Chart.
2. Click the green **Indicators** button (or press **Ctrl I**) to open the **Indicator List**.
3. Search for **Keltner Channel** and click **+** to add it. The three lines draw over the candles.
4. Click the gear icon to open the indicator configuration window.
5. The defaults — **Length** 21 and **ATR Multiplier Value** 2.00 — are a sound starting configuration; widen the multiplier if your instrument tags the bands too often for your style.

[SCREENSHOT PLACEHOLDER] Keltner Channel configuration window open showing the ATR Multiplier Value field set to 2.00, the Input dropdown, and the Length field set to 21, with the Subgraphs color options below

`dc-en-keltner-channel-02.png`

How to read it

- **Slope and side.** The channel's slope gives the trend; which side of the center line price holds gives the bias. Both together are stronger than either alone.
- **Center-line pullbacks.** In a trending market, retracements to the Keltner Avg that hold are classic continuation entries.

- **Band rides vs. band pokes.** Sustained closes along a band indicate a strong trend (do not fade). An isolated poke beyond a band in a flat channel is more likely an exhaustion or reversal area.
- **Channel width.** A visibly narrowing channel means contracting true range — the same "quiet before the move" logic as a Bollinger squeeze, but measured in ATR terms.

Settings reference

Settings are accessed through the indicator configuration window.

Parameters

Setting	What it does	Default
ATR Multiplier Value	Multiplies the ATR to determine how far the outer bands sit from the center line. Higher values contain more price action; lower values signal earlier but more often.	2.00
Input	The price data used for the channel average — Close, Open, High, Low, or volume.	—
Length	The number of periods used to calculate the channel average.	21

Subgraphs

Setting	What it does
Keltner Avg Color	Color of the center line.
Secondary color	Optional secondary color for the line.
Keltner Up Color	Color of the upper band.
Keltner Down Color	Color of the lower band.
Display style / line style / line width	Visual styling of each line.
Secondary axis	Option to scale on a secondary axis.

Tips and common mistakes

- **Do not fade band touches in a trending channel.** The most reliable reversal reads come when the channel is flat; in a sloped channel, a band touch is usually trend strength.
- **Tune the multiplier, not the length, first.** The Length changes the character of the center line; the ATR Multiplier only changes how tolerant the bands are. Most fitting problems are multiplier problems.
- **Combine with Bollinger Bands for squeeze detection.** When Bollinger Bands contract inside the Keltner Channel, volatility is unusually compressed — a widely used expansion setup.
- **Remember the bands are ATR-based.** After a volatility spike, the channel stays wide for a while even if price goes quiet; that is ATR's smoothing, not a signal.

Related articles

- Bollinger Bands
- Average True Range (ATR)
- Moving Average
- Standard Deviation
- Different Types of Input Data for Indicators
- How to Change the Layout of Indicators